

ENTREPRENEURSHIP DEVELOPMENT AND STARTUPS

Course Code: 315002 Practical No.: 3

LLO 3.1: Explore probable risks for identified enterprise.

CASE STUDY ON RISKS ASSOCIATED WITH ENTERPRISE

Selected Enterprise: Wipro Limited

1. Aim

To study the probable risks associated with Wipro Limited, analyze their causes and possible impacts, and suggest suitable measures for managing these risks.

2. Introduction of the Enterprise

Wipro Limited is a global technology services and consulting company that provides consulting, digital transformation, engineering, cloud, cybersecurity and business-process services. The company serves clients across multiple industries and geographies. Because its operations depend heavily on technology, skilled professionals, international clients and digital infrastructure, effective enterprise risk management is important for maintaining business continuity and customer trust.

3. Major Business Activities

- 1 IT consulting and digital transformation services
- 2 Cloud, data and artificial intelligence solutions
- 3 Cybersecurity and risk-management services
- 4 Application development, modernization and engineering
- 5 Business process and technology operations
- 6 Technology consulting and managed services

4. Case Study / Risk Background

The technology-services industry is affected by rapid technological change, intense competition, changing client demand, cybersecurity threats, availability of skilled professionals and global economic and geopolitical conditions. Wipro's recent risk disclosures identify areas including data privacy, geopolitical and macroeconomic volatility, competition in IT services, skilled-talent retention, contract delivery, client concentration, international operations and changing technology demand. Wipro also highlights the growing importance of AI and cybersecurity in its business environment.

5. Identification and Analysis of Probable Risks

1. Market and Competition Risk: Wipro operates in a highly competitive global IT-services market. Strong competition from other technology-service providers and changing customer expectations can put pressure on pricing, growth and market share. Failure to maintain differentiated services and capabilities may affect business performance. **Risk Level: High.**

2. Cybersecurity and Data Privacy Risk: Wipro handles sensitive information and operates digital systems for clients. Cyberattacks, data breaches or non-compliance with privacy regulations can result in financial penalties, legal action, operational disruption and loss of customer trust. **Risk Level: High.**

3. Technology and AI Risk: Technologies such as artificial intelligence, cloud computing and automation are changing the IT-services industry rapidly. If Wipro or its clients cannot adopt new technologies effectively, demand for existing services may decline and the company may face competitive pressure. AI also creates new governance, privacy and security considerations. **Risk Level: High.**

4. Talent and Employee Risk: IT services depend on highly skilled professionals. Difficulty in attracting, developing and retaining employees with current technical skills can affect project delivery, service quality and business growth. Wage increases can also increase operating costs. **Risk Level: High.**

5. Service Delivery and Contractual Risk: Large technology projects may involve fixed-price or fixed-time contracts. Delays, cost overruns, technical problems or failure to meet contractual requirements can reduce profitability and may expose the company to contractual liabilities. **Risk Level: High.**

6. Client Concentration Risk: Wipro's business depends on relationships with major clients. A reduction in spending, loss of a significant client or delay in new projects can affect revenue and business growth. **Risk Level: Medium.**

7. Financial and Foreign Exchange Risk: Wipro operates internationally and is exposed to fluctuations in currencies, interest rates and broader financial conditions. Exchange-rate movements can affect reported revenue, costs and profitability. **Risk Level: Medium.**

8. Geopolitical and Macroeconomic Risk: Political instability, wars, protectionist policies, economic slowdowns and restrictions affecting international operations can disrupt business activities, employee mobility and client spending. **Risk Level: Medium.**

6. Risk Management Measures

- 1 **Market risk:** Continuously monitor industry trends, strengthen consulting and digital capabilities, and develop differentiated technology services.
- 2 **Cybersecurity and data privacy risk:** Use encryption, firewalls, intrusion detection, privacy audits, employee training and strong access controls.
- 3 **Technology and AI risk:** Invest in AI, cloud and emerging technologies while maintaining appropriate AI governance, security and data-protection practices.
- 4 **Talent risk:** Provide continuous learning and upskilling, improve employee engagement and develop talent in emerging technology areas.
- 5 **Service delivery risk:** Strengthen project governance, monitor delivery milestones, manage costs and maintain clear contractual controls.
- 6 **Client concentration risk:** Diversify the client portfolio and strengthen relationships across industries and geographies.
- 7 **Financial risk:** Monitor foreign-exchange exposure, financial conditions and cash flows and use appropriate financial controls.
- 8 **Geopolitical risk:** Use country-risk assessments, local talent strategies, business-continuity planning and regularly tested cybersecurity and resilience programmes.

7. Conclusion

The Wipro case shows that a global technology enterprise can face several interconnected risks. Competition, cybersecurity and data privacy, rapid technological change, shortage of skilled talent, project-delivery challenges, client concentration, financial uncertainty and geopolitical conditions can affect business performance. Effective risk identification, continuous monitoring and timely corrective action can help Wipro protect customer trust, maintain operational resilience and remain competitive.

8. Learning from the Case

An entrepreneur should identify probable risks before they become major problems. In a technology-based enterprise, risk management requires continuous learning, cybersecurity awareness, technology adaptation, financial discipline and contingency planning. A strong risk-management system helps an enterprise respond quickly to uncertainty and sustain long-term growth.

References: Wipro Integrated Annual Report 2024–25; Wipro Risk Management disclosures; Wipro State of Cybersecurity Report 2025.